

The Great Repricing

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Motivation

- Factors have exhibited lower returns in recent years (?)
- When did this start? Is there a pattern?
- Can we figure out the economic drivers

Main Statistical Tool: Change Point Detection (CPD)

Setup

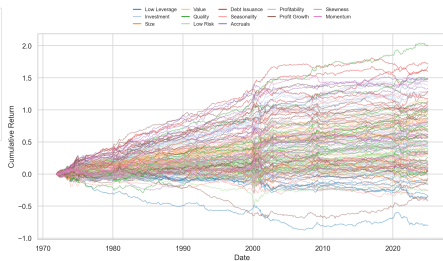
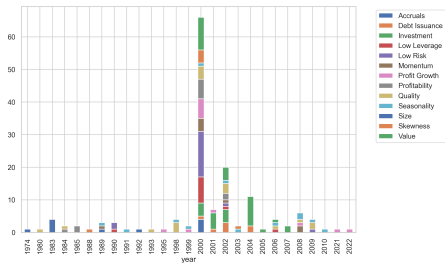
Let $X_1, \dots, X_n$ be independent with

$$X_t = \mu_t + \varepsilon_t, \quad \mathbb{E}[\varepsilon_t] = 0, \quad \text{Var}(\varepsilon_t) = \sigma^2.$$

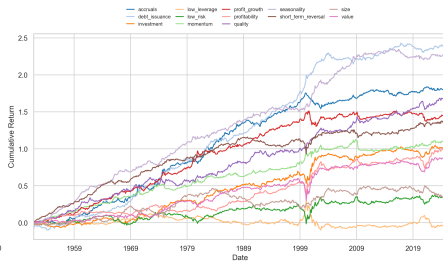
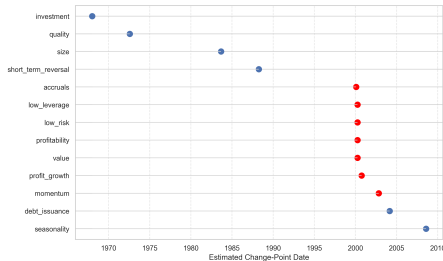
We want to test

$$H_0 : \mu_1 = \dots = \mu_n \quad \text{vs.} \quad H_A : \exists k : \mu_1 = \dots = \mu_k \neq \mu_{k+1} = \dots = \mu_n.$$

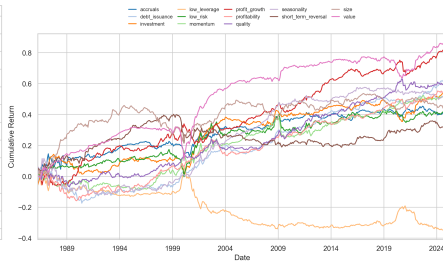
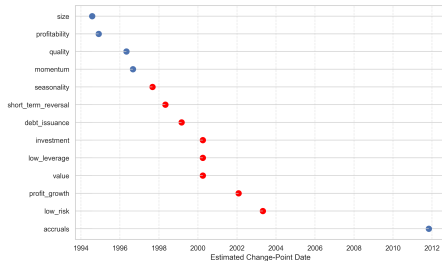
CPDs on JKP Factors



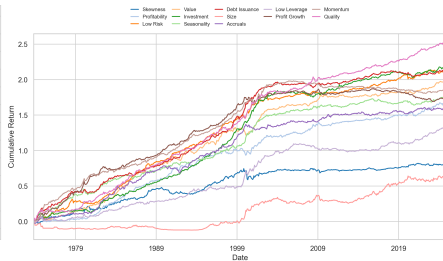
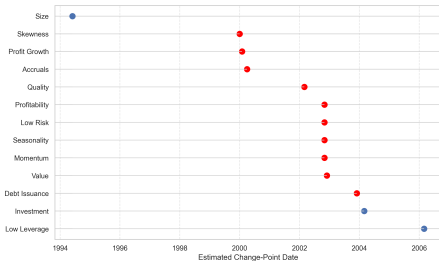
CPDs on JKP Themes



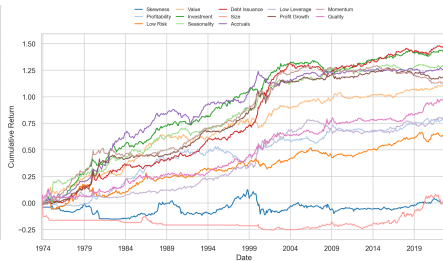
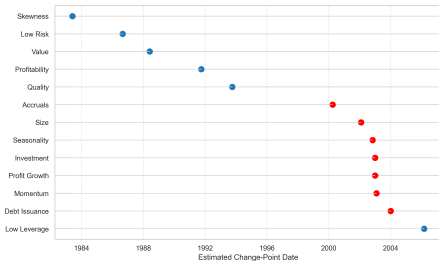
CPDs on JKP Themes Developed



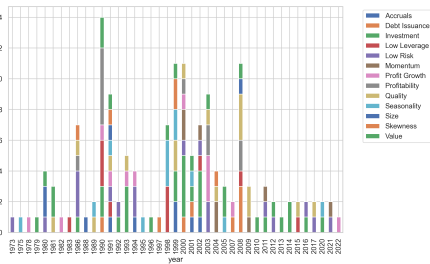
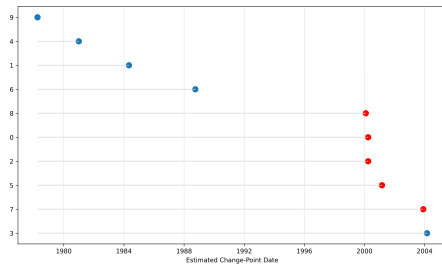
CPDs on JKP Within Themes Markowitz



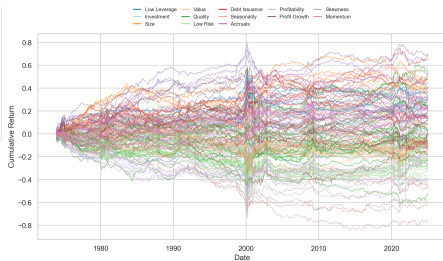
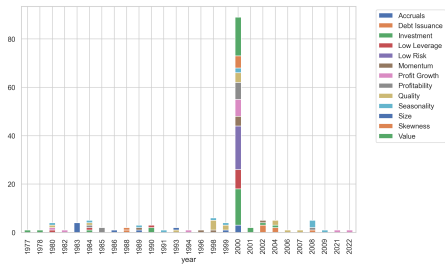
CPDs on Mega JKP Within Themes Markowitz



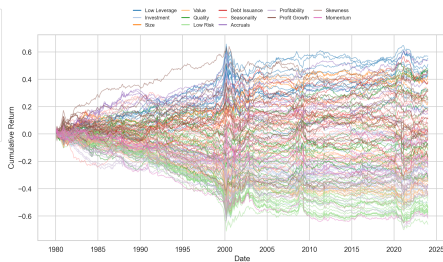
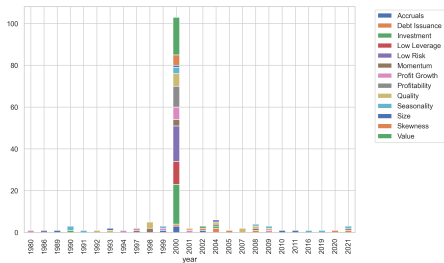
CPDs in top PCs and Residuals



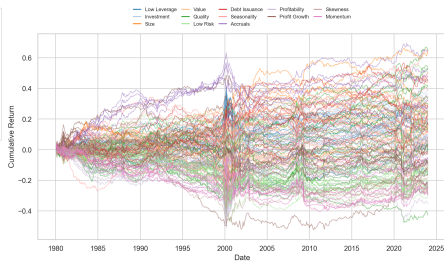
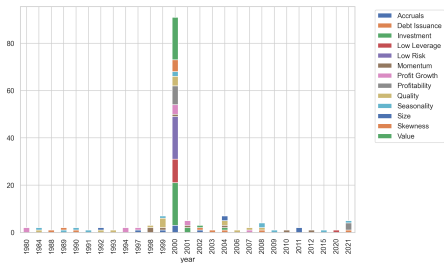
CPDs After Regressing on UPSA



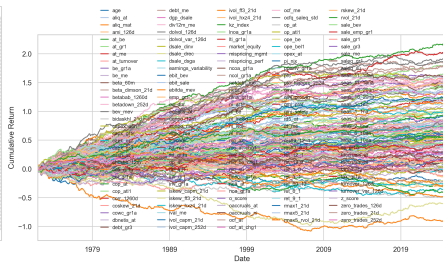
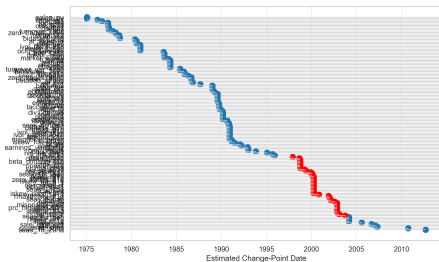
CPDs After Regressing on Complex Factors



CPDs After Regressing on IPCA



CPDs on JKP Factors vol managed



CPDs on SDFs

